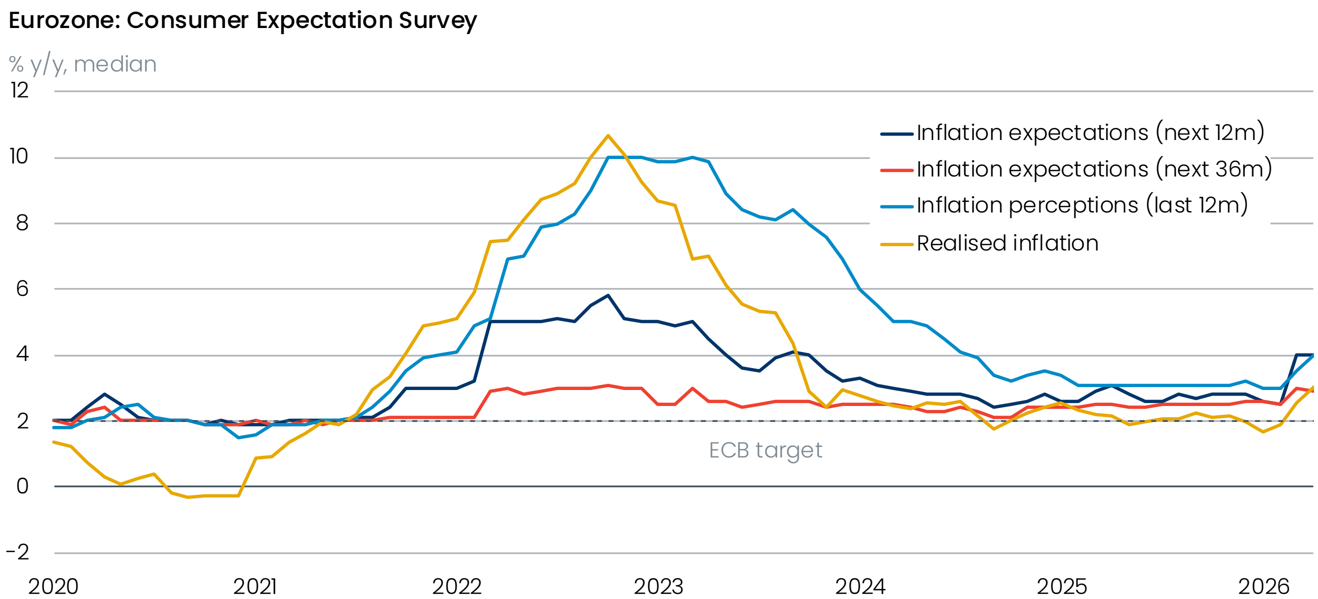
Loan and survey data add to Q2 gloom

- **Today's data flow confirms the Iran energy shock is working its way through the euro area economy. Weak German retail sales, deteriorating industry sentiment, slower broad money growth and consistently high consumer inflation expectations all signal that economic activity in Q2 is likely to disappoint.**
- **The ECB's April consumer expectations survey offers little that would deter the Governing Council from a June hike, but the combination of elevated inflation expectations and a softening labour market suggests this is a signalling exercise rather than the start of a hiking campaign. We expect a 25bp move next week and in July.**
- **Euro area unemployment held steady at 6.3% in April, offering one of few positive signals in today's data flow. But with real incomes falling and consumer confidence deteriorating, labour market resilience won't offset the drag on private consumption ahead.**

There was nothing in the ECB's April consumer expectations survey (CES), that would deter the central bank from following through with the widely expected rate hike next week. Inflation perceptions rose sharply and are above realised values, while expectations for inflation three and five years out held about stable at 2.9% and 2.4%, respectively. But both are at levels similar to 2022, so clearly too high for comfort. The rest of the survey suggests more benign inflation risk. Rising spending and falling income expectations underscore the stagflationary nature of the shock, while rising unemployment expectations and a softer labour market backdrop imply, that wages will be less responsive to higher inflation than four years ago. This won't stop the ECB council from hiking rates, but it supports the notion that we are not headed for a hiking campaign but more of a signalling exercise aimed at containing firms' and households' inflation expectations.

Chart 1: One-year inflation expectations are still elevated



Sources: Oxford Economics, Haver Analytics

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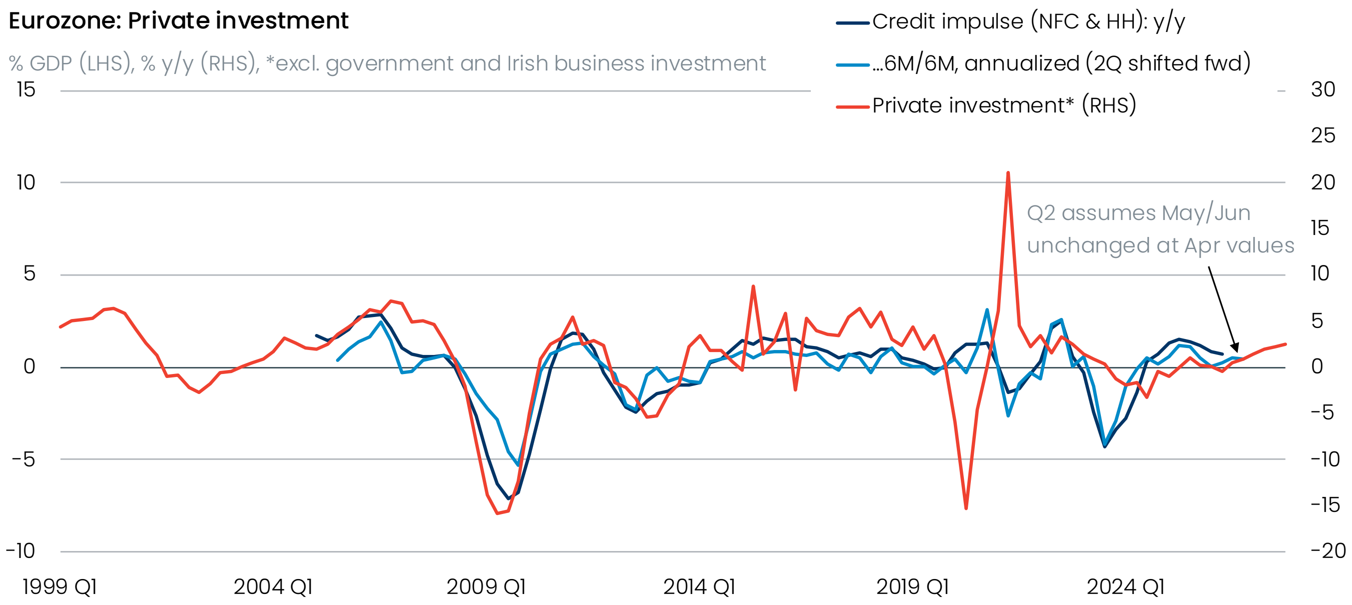
We also received monetary data for the euro area where M3 growth decelerated to 2.7% y/y in April from 3.2%, with M1 slowing sharply to 3.8% from 4.7% as overnight deposit growth fell to 4.1%. This is consistent with reduced transactions demand as real activity contracts. Adjusted household loans held steady at 3.0% y/y, but consumer credit accelerated to 5.2%, pointing to households borrowing to sustain nominal spending rather than spending from income. The flow of new housing loans held up well but points to a deceleration of the housing recovery as a worsening affordability and higher mortgage rates weigh. In contrast, non-financial corporations (NFC) loan growth ticked up to 3.4%, and the monthly flow of longer term corporate loans picked up markedly. This supports our view that business investment will remain resilient to the current headwinds (Chart 2).

The Eurozone manufacturing PMI for May came in at 51.6, marginally revised up from the flash estimate but still down from April's near four-year high of 52.2. New orders stagnated as the stockpiling-driven surge unwound, input costs rose at their fastest pace in four years and output charges at their quickest in three-and-a-half years. Meanwhile, longer delivery times continue to push up the headline. Manufacturing PMIs in Germany and France dropped as expected but were still revised up from the flash estimate with Germany's reading remaining marginally above the crucial 50-mark. Spain where no flash estimate was available, also saw a lower reading in May. Italy where manufacturing PMI rose 0.8pts to 52.9 remained the strongest national print, although the surge was stockpiling driven and in demand may prove temporary, still reflecting order frontrunning ahead of higher prices and tighter supply chains.

Chart 2: Private investment will remain resilient despite slowing credit impulse



Sources: Oxford Economics, Haver Analytics

Elsewhere, German retail sales edged down 0.3% m/m in April. The March revision, from an initial -2.0% m/m, to a confirmed -0.3% m/m, removes some prior downside but does not alter the underlying trend of falling spending due to declining real purchasing power. Together with Spain's disappointing retail sales data, this confirms the expected weakness for Eurozone retail sales to be released this Thursday.

Today's data releases confirm our muted outlook for Q2 and the data paint a picture the ECB will find uncomfortable: inflation expectations elevated and entrenched, credit growth driven by distress rather than investment, and real activity contracting. We expect economic activity in Q2 to disappoint, with private consumption the primary drag.